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Strategic Trading Analysis

Based on the detailed 25-page analysis report for **FEDERALBNK.NS** (Federal Bank), here is the positional trading assessment.

Note on Timeline: The report is dated **February 21, 2026**. The analysis below treats this as the "current" date and market reality.

Step 1: Audit the Data

- **Data Present:**
  - **Price Structure:** Daily, Weekly, and 15-minute charts with candlestick classification.
  - **Trend Indicators:** Simple and Exponential Moving Averages (20, 50, 200), Supertrend, and MACD.
  - **Momentum/Volatility:** RSI, Bollinger Bands (with Squeeze analysis), and Volatility measures (ATR).
  - **Volume:** Volume Moving Averages, Distribution day counts, and buying/selling exhaustion signals.
  - **Fundamentals/Valuation:** Earnings growth, ROE, Forecasts, and Relative Strength (RS) comparison against Bank Nifty.
- **Data Missing:**
  - Specific Option Chain data (Open Interest build-up) to confirm resistance levels at psychological integers (e.g., 300).
- **Confidence Level: High**. The report provides a comprehensive technical and fundamental picture, including conflicting signals (divergences) which allows for a nuanced risk assessment.

Step 2: Analyze the Setup

Price Structure & Trend:* **Primary Trend:** Undeniably **Bullish**. The stock is trading above all key EMAs (20 > 50 > 200), and the "Golden Cross" is well established. The Supertrend is currently in a "BUY" mode with support at INR 269.20.* **Relative Strength:** The stock has an RS Score of 59.3 and is classified as a "Weakening Leader." It has outperformed the Bank Nifty index significantly over the last year but is showing signs of flattening relative momentum.

Momentum & Risks (The Conflict):* **The Problem:** While the price trend is up, momentum is deteriorating. * **MACD:** Displays a **Bearish** **Divergence** and has crossed below the signal line (Trend: **Bearish**). * **RSI:** Also shows a **Bearish** **Divergence** (lower highs on RSI while price made higher highs). * **Volume:** The report explicitly flags "Buying Exhaustion" on 2026-01-30.* **Volatility Squeeze:** The Bollinger Band width is low (0.0463), indicating a "Squeeze." This predicts an imminent explosive move, but the direction is not guaranteed.

Confluence: The setup is a **High-Level Consolidation (Bull Flag)**. However, the bearish divergences in RSI and MACD suggest that the immediate upside momentum is tired. Entering exactly at the current price (INR 292.60) is risky because the stock is right at the Upper Bollinger Band (INR 293.46) with negative momentum indicators.

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Step 3: Formulate the Recommendation

Should you enter this stock now?NO.

Reasoning: While the long-term trend is bullish, the immediate "Buying Exhaustion" signal and **Bearish** Divergences on the MACD and RSI significantly increase the risk of a pullback to the 20 EMA (INR 284) or the 50 EMA (INR 273). Buying right at the upper Bollinger Band resistance (INR 293.46) without a confirmed breakout is a low-probability entry. You should wait for the market to resolve the "Volatility Squeeze" before committing capital.

Conditional Plan (Wait for the Breakout): To trade this for a 5-15% gain, you need the price to invalidate the bearish divergences by breaking out to a new high.

- **Condition to Buy:** A **Daily Candle Close** above the recent swing high/All-Time High resistance.
- **Entry Price: INR 299.00** (This clears the psychological resistance and validates the Squeeze to the upside).
- **Stop Loss: INR 282.00** (A close below the 20 EMA would invalidate the short-term momentum).
- **Take Profit: INR 330.00** (Targeting a ~10% extension from the breakout level).

Alternative "Value" Plan (Buy the Dip): If the bearish divergence plays out and the stock corrects:* **Condition to Buy:** Price touches the 50 EMA and forms a bullish reversal candle (Hammer/Engulfing).* **Entry Price: ~INR 273.00*** **Stop Loss: INR 265.00** (Below Supertrend support).* **Take Profit: INR 295.00** (Return to current highs).

Candlestick Classification Analysis

Based on the **Candlestick Classification** analysis found on **Page 20 (Summary)** and **Page 21 (Chart)** of the report, here is my assessment as a seasoned price action trader.

Current Market State: Indecision & Consolidation

1. The Signal:* **Latest Classification: No Control (0)*** **10-Day Trend Score: 0.10** (Neutral)

2. Interpretation of the Logic: Using the provided classification algorithm, the current "No Control" status indicates a significant contraction in volatility relative to the ATR. The recent daily candles likely feature:* **Small Bodies (<0.5 ATR):** The delta between Open and Close is minimal.* **Mixed Wicks:** Attempts by both bulls to push higher and bears to push lower are failing to hold, resulting in prices closing near the middle or opening levels.* **Volume:** The volume is likely average or below the 1.3x threshold required to trigger a "Strong" signal.

This tells us the market has entered a phase of **equilibrium**. After a significant move, neither buyers nor sellers currently have the conviction to drive the price further.

Chart Analysis (Page 21)

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Looking at the visual data on Page 21, the story of the price action unfolds as follows:

1. **The Catalyst (The Pole):** In mid-January 2026, there was a distinct **Buyer Strong Control (+2)** candle (the large dark green bar). This was a high-conviction move with a large body closing near the high, likely accompanied by high volume. This established a dominant uptrend.
2. **The Pause (The Flag):** Following that surge to the ~290 level, the candles turned predominantly Grey (**No Control**). We see a cluster of small-bodied candles moving sideways.
3. **Absence of Selling Pressure:** Crucially, we do **not** see "Seller Strong Control" (-2) candles dominating this consolidation. The bears have not been able to print a large bearish body to reverse the gains. They are merely capping the upside, not driving a reversal.

Prediction: Bullish Continuation (Wait for Breakout)

As a Candlestick Trader, I view this "No Control" cluster (Score 0.10) sitting on top of a strong prior uptrend as a classic **Bullish** **Consolidation** or **High Tight Flag**.

- **The Logic:** The market is "digesting" the recent gains. The fact that the price is hovering near highs (around INR 292) without selling off suggests that holders are not rushing to take profits, and short-sellers are afraid to step in aggressively.

Future Price Direction:I anticipate the price will likely **break upwards** to continue the primary trend.

Action Plan based on Classification:* **Watch For:** A shift from "No Control" (0) to **Buyer Control (+1)** or **Buyer Strong Control (+2)**.* **Trigger:** A daily close above the consolidation high (approx. INR 295-INR 298) with a candle body >1.5 ATR and Volume >1.3x average.* **Risk:** If a **Seller Strong Control (-2)** candle appears (large red body closing near lows) and breaks below the consolidation support (approx. INR 280), the bullish thesis is invalidated, and a deeper correction will begin.

Verdict: The "No Control" signal here is bullish by context. Expect a leg up.

News & Analyst Targets

As a stock research analyst, I have compiled the latest developments, brokerage views, and market data for **Federal Bank (FEDERALBNK)** for the week ending **February 21, 2026**.

1) Latest News for FEDERALBNK This Week

The most significant event this week was a major positive development regarding a tax refund, which has fueled stock momentum.

- **INR 686 Crore Tax Refund:** On February 19-20, Federal Bank announced it had received orders from the Income Tax Department entitling it to a refund of **INR 686 crore** (inclusive of interest) for assessment years 2012-13 and 2013-14. This creates a one-time boost to the bank's liquidity and potential profitability for the current quarter.
- **Stock Rally & Near All-Time High:** Following the refund news, the stock rallied approximately **1.5%** on Friday, Feb 20, trading around **INR 292**, which is within striking distance (less than 3%) of its all-time/52-week high of **INR 298.25** hit earlier this month (Feb 3, 2026).
- **Rekha Jhunjhunwala Portfolio Action:** The stock garnered additional retail attention this week as it remains a key holding in the portfolio of ace investor Rekha Jhunjhunwala.
- **Strong Q3 Context:** The sentiment remains supported by the recently reported Q3 FY26 results, where net profit rose **9% YoY to INR 1,041 crore**, driven by a 20% surge in non-interest income and improved

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asset quality (GNPA dropped to 1.72%).

2) Brokerage Upgrades & Downgrades

While there were no major *fundamental* rating changes from global brokerages specifically *this week*, the consensus view has strengthened throughout February.

- **Technical Upgrade (Centrum Broking):** On Feb 20, analysts at **Centrum Broking** issued a positive technical outlook. They noted strong momentum indicators and significant buying interest, predicting a short-term upside.
- **Consensus Revision:** Earlier in February (Feb 4), the consensus 1-year price target was revised upward by approximately **17%** (to ~INR 301) by data aggregators like Nasdaq, reflecting the market's digestion of the strong Q3 earnings and the recent block deals.
- **Institutional Action (Block Deal):** Contextually important for this month, a major block deal occurred on Feb 4 where **BNP Paribas** bought and **Societe Generale** sold shares worth ~INR 89 crore, indicating a shuffle in institutional ownership rather than a lack of confidence.

3) Indirect News Impacting FEDERALBNK

- **Sector Rotation to Financials:** Market analysis this week suggests a rotation of institutional funds into the **Banking & Financial Services (BFSI)** sector. Private sector banks like Federal Bank are benefiting from this "risk-on" sentiment as investors seek value in financials with improving asset quality.
- **Macroeconomic Tailwinds:** The broader expectation of US Fed rate cuts (now penciled in for mid-2026 by some brokerages) is improving sentiment for emerging market financials, aiding stocks like Federal Bank.
- **Tax/Regulatory Environment:** The successful resolution of the long-standing tax dispute sets a positive precedent, reducing legal contingent liabilities and improving the bank's balance sheet cleanliness-a key metric for banking analysts.

4) Latest Analyst Targets

The following table summarizes the latest price targets and ratings from the analyst community as of February 21, 2026.

Source / Brokerage	Rating / View	Target Price (INR)	Date / Period	Notes
Nasdaq Consensus	Buy	301.19	Feb 04, 2026	Revised up ~17% from Jan est.
Centrum Broking	Positive	300 - 310	Feb 20, 2026	Technical/Short-term view
Trendlyne Consensus	Buy	294.66	Feb 20, 2026	Based on 30+ analysts
Investing.com	Buy	294.66	Feb 20, 2026	High est: INR 325
ICICI Direct	Hold	310.00	Jan 19, 2026	Maintained post-Q3 earnings

Analyst Summary: The stock is currently trading near **INR 292**. Most analysts see a potential upside breakout above the psychological **INR 300** mark, driven by the tax refund windfall and strong technical charts. Immediate support is seen at **INR 283**.

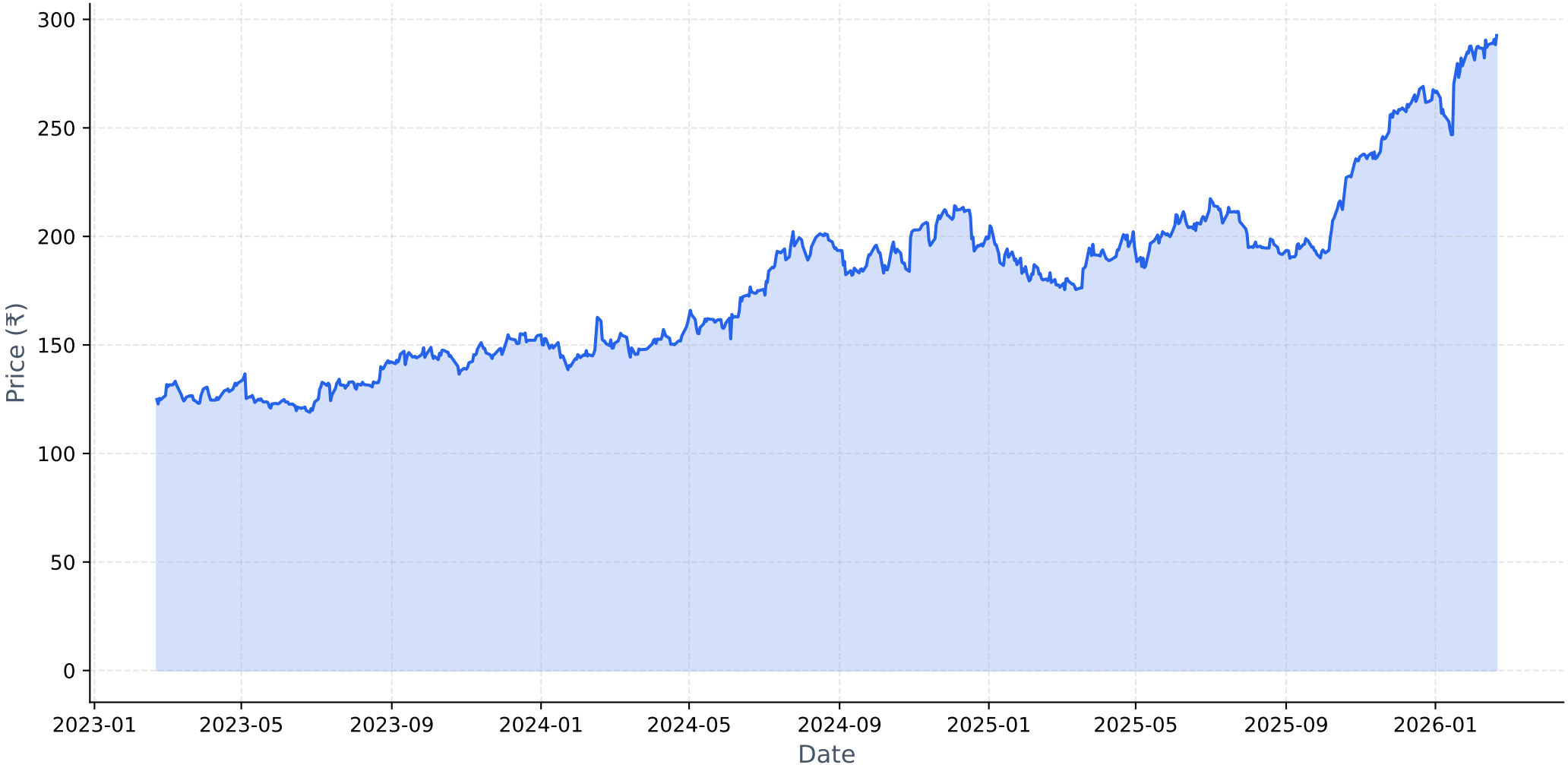
Stock Detailed Analysis Report

FEDERALBNK.NS

Current Price: ₹292.60

Generated: 2026-02-21 09:17

FEDERALBNK.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	No	17.46%	18.59%
Net Income	Yes	No	7.17%	28.29%
ROE	Yes	No	-6.58%	5.59%
EPS	Yes	No	1.31%	21.27%

Short-term Fundamental Analysis (6 Quarters)

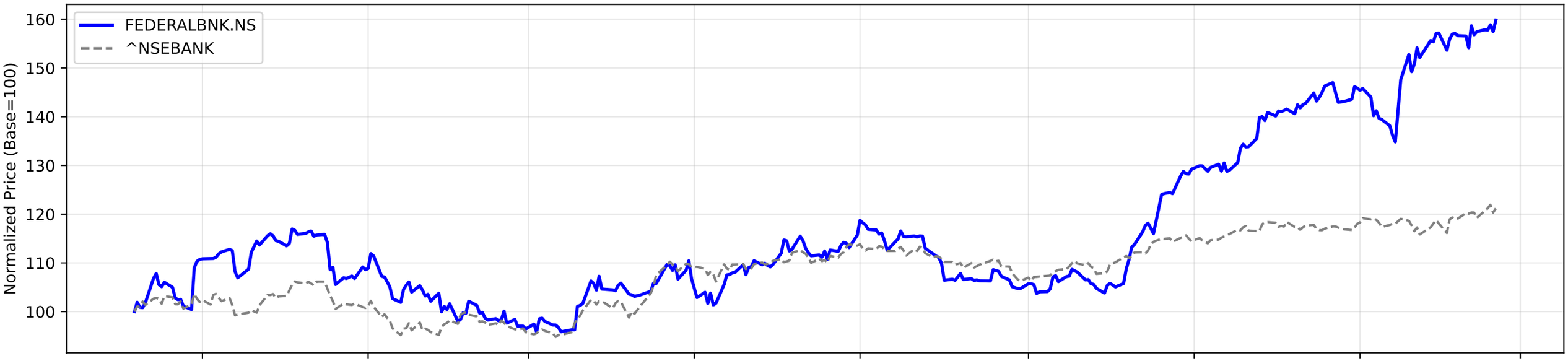
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	8.65%	3.26%
Net Income	Yes	19.14%	1.25%
ROE	No	-6.28%	-6.28%
EPS	Yes	18.98%	3.78%

FEDERALBNK.NS - Relative Strength Analysis

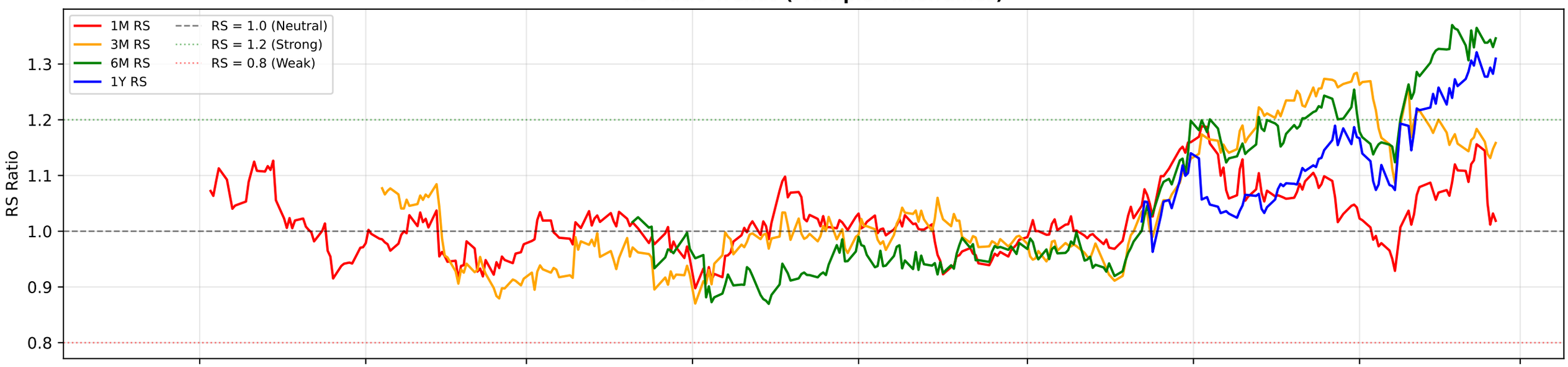
═══ OVERVIEW ═══:	
Benchmark Index:	^NSEBANK
Sector:	Bank
Classification:	**Weakening Leader**
RS Score:	59.3/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.019 [Leader]**
3M RS:	**1.158 [Leader]**
6M RS:	**1.346 [Strong]**
1Y RS:	**1.310 [Strong]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✗ Emerging RS:	**Not accelerating**
✗ Medium-term Lagging:	**Not lagging**
✗ Performance Improving:	**Not improving**

Relative Strength Analysis: FEDERALBNK.NS vs ^NSEBANK
Classification: Weakening Leader

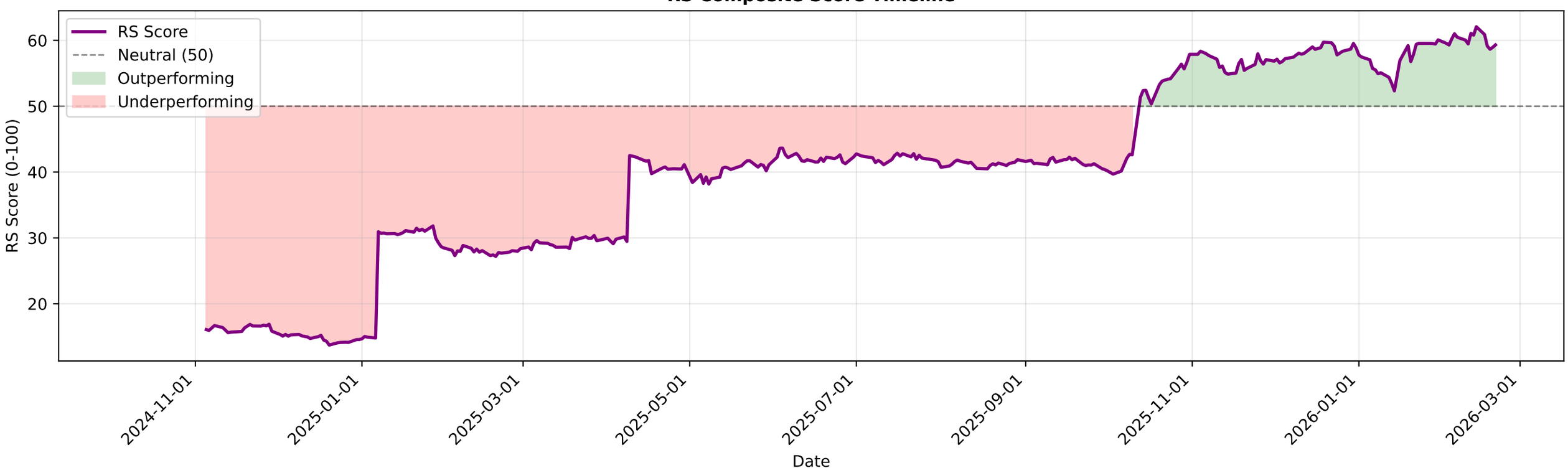
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

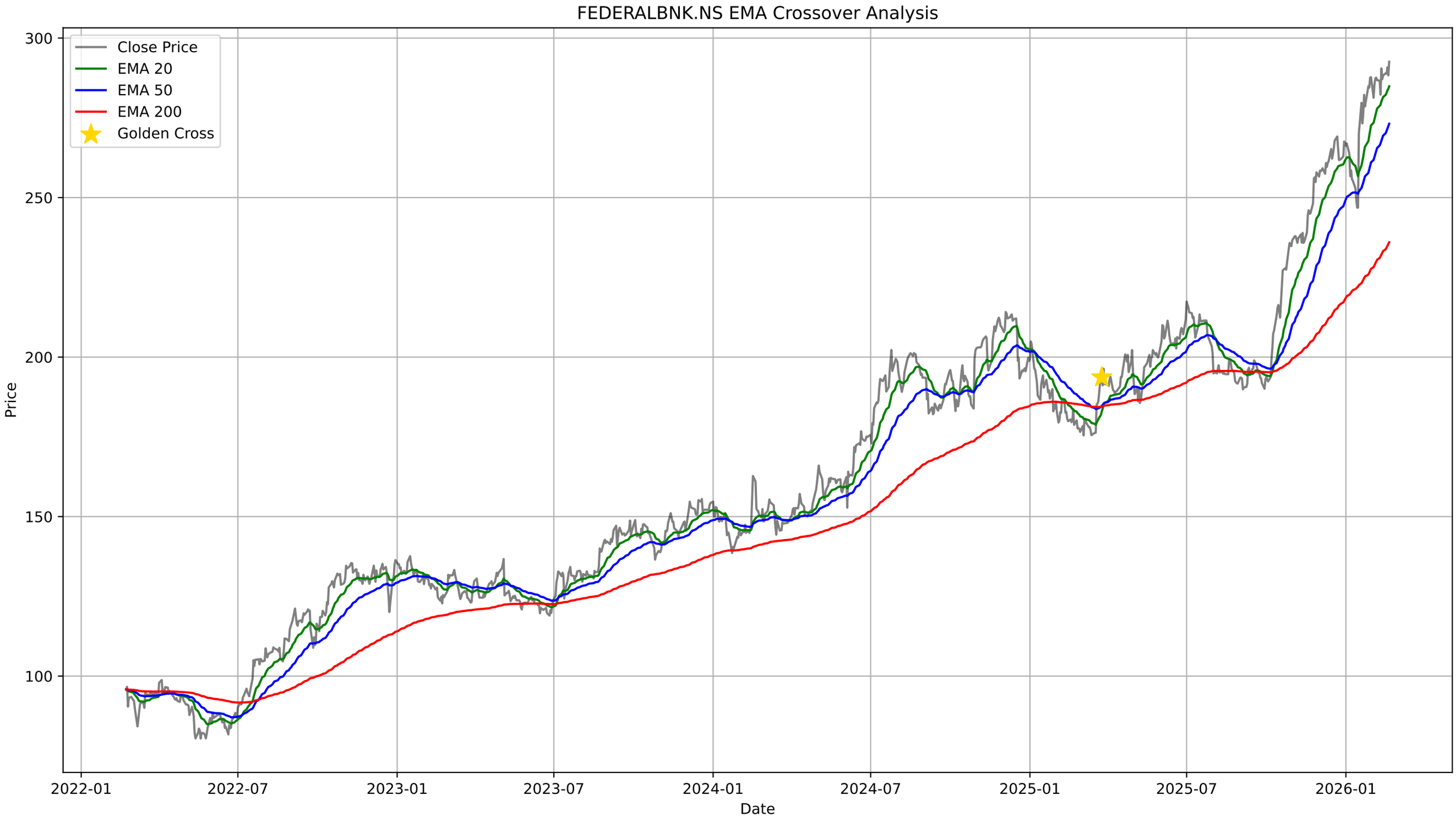


RS Composite Score Timeline



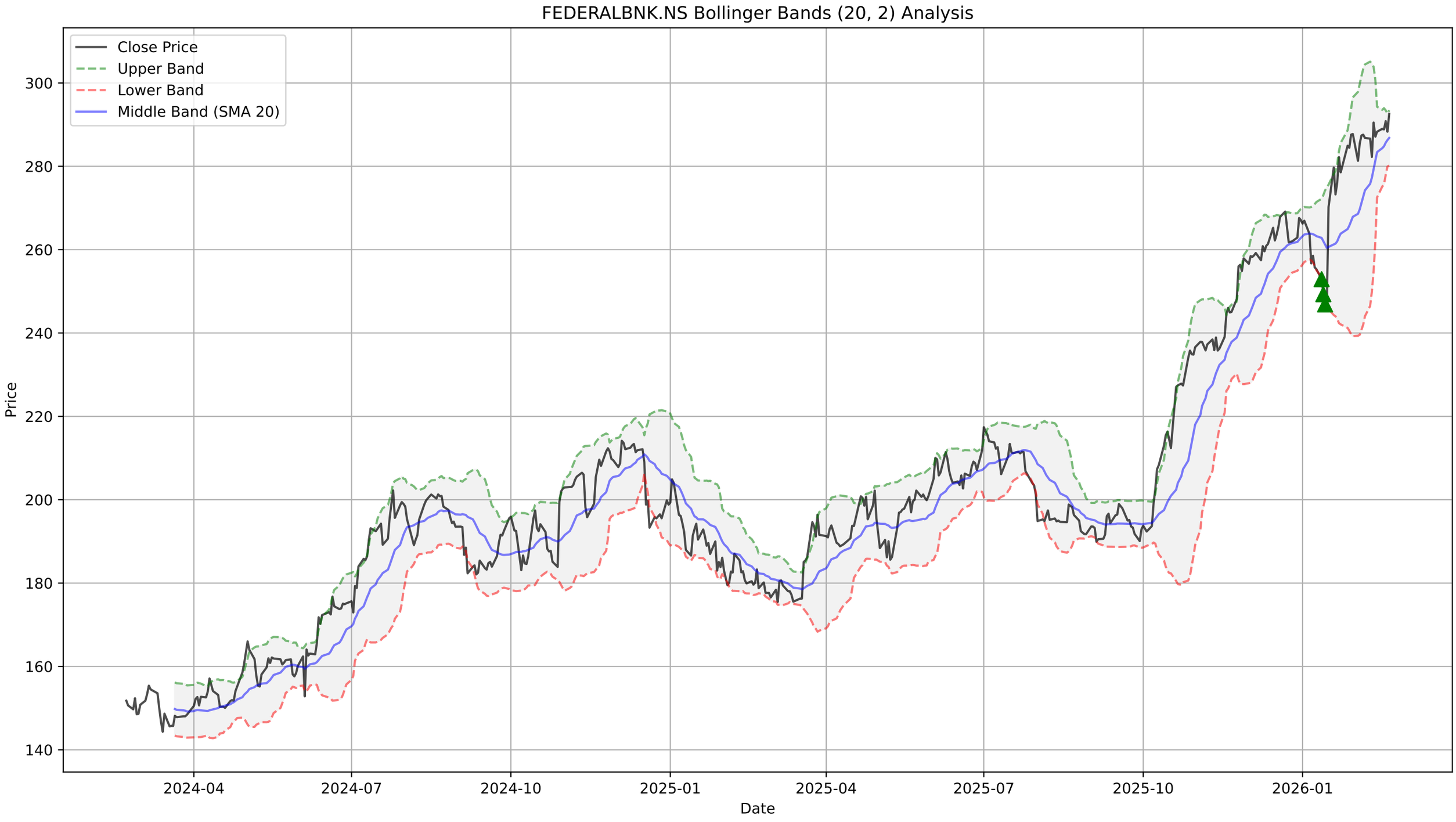
FEDERALBNK.NS - EMA Crossover Summary

EMA 20:	284.88
EMA 50:	273.15
EMA 200:	236.02
Trend Status:	**Strong Uptrend**
Golden Cross Date:	2025-03-25 00:00:00+05:30
Golden Cross Price:	193.68


FEDERALBNK.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Golden Cross
Price
Date
300
250
200
150
100
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01

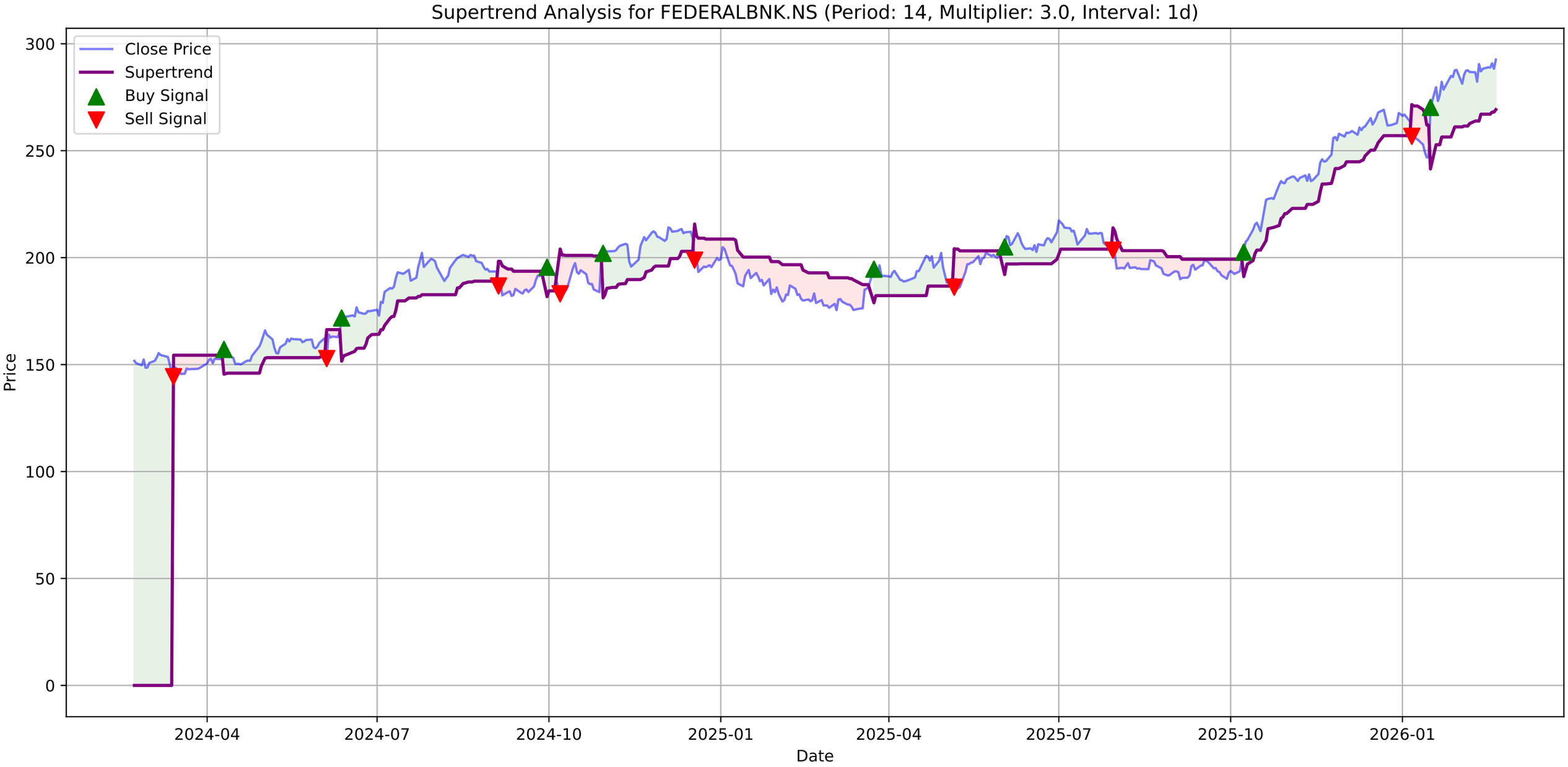
FEDERALBNK.NS - Bollinger Bands Summary

Current Price:	292.60
Upper Band:	293.46
Middle Band (SMA 20):	286.81
Lower Band:	280.17
%B:	0.9355
Band Width:	0.0463
Status:	Upper Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-01-12 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-01-13 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-01-14 00:00:00+05:30**


FEDERALBNK.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
300
280
260
240
220
200
180
160
140
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

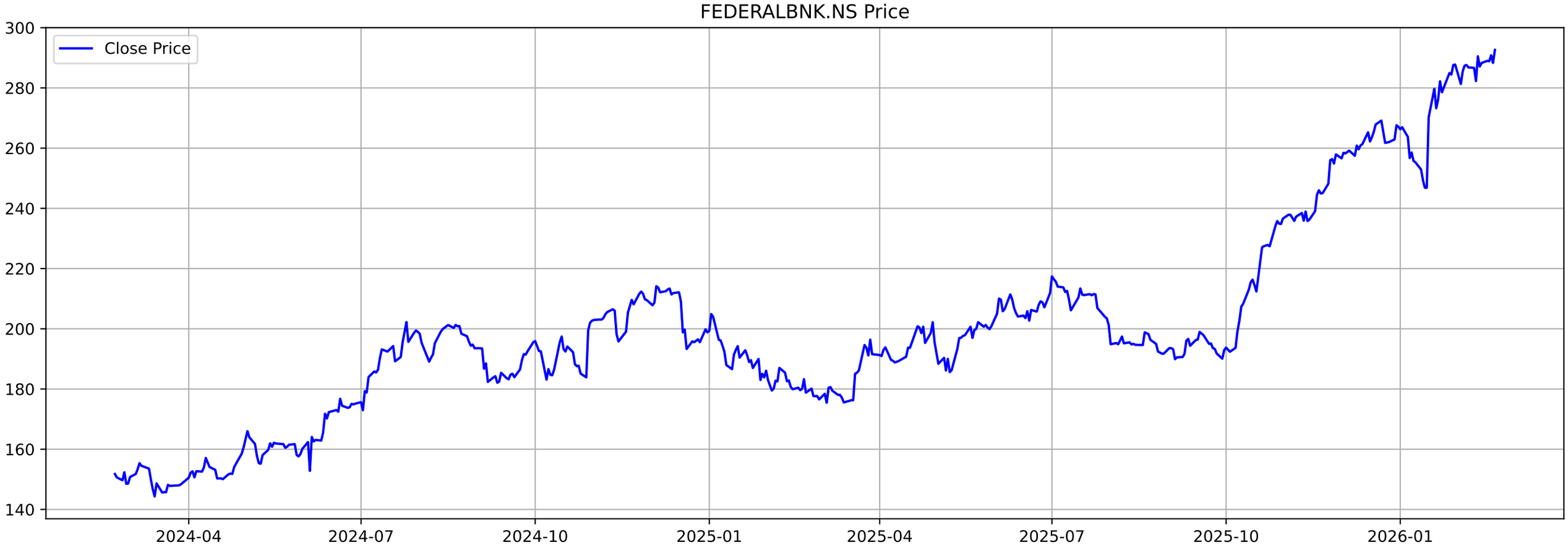
FEDERALBNK.NS - Supertrend Summary

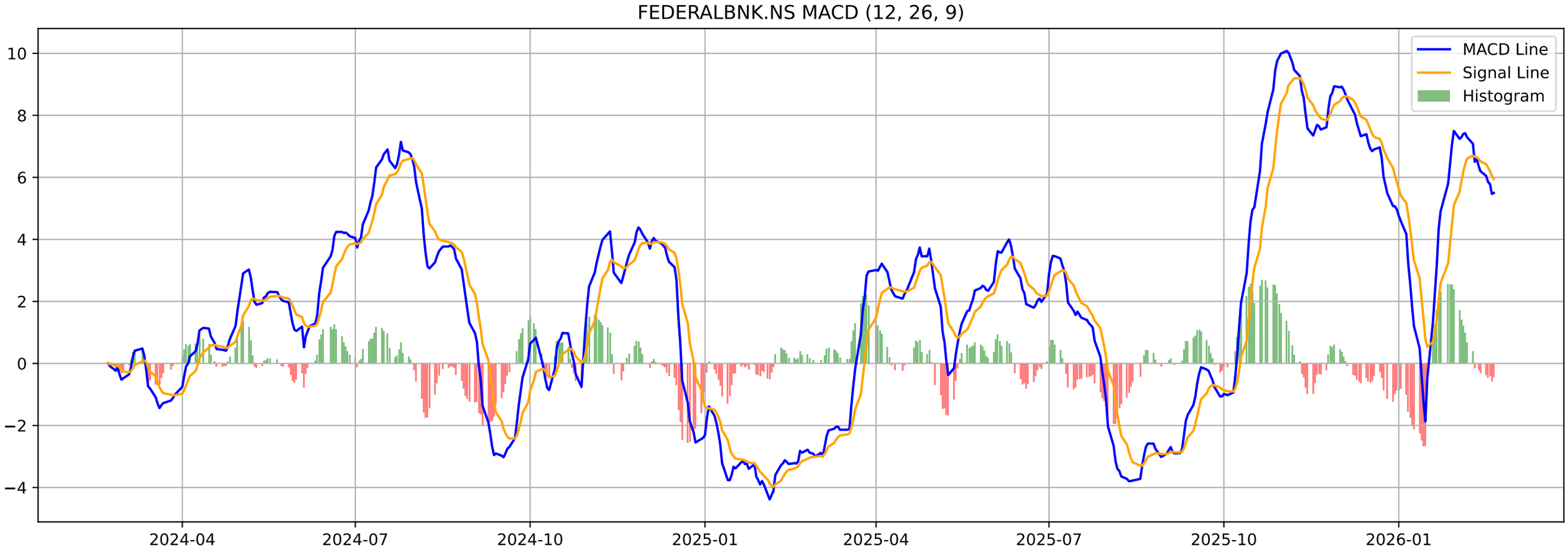
Status:	**UPTREND (Buy)**
Supertrend Value:	269.20
Signal Identified On:	2026-01-16


Supertrend Analysis for FEDERALBNK.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
300
250
200
150
100
50
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

FEDERALBNK.NS - MACD Summary

MACD Line:	5.50
Signal Line:	5.95
Histogram:	-0.45
Trend:	**Bearish**
Momentum:	**Weakening**
Signal:	None
Divergences Detected:	1
└ **Bearish Divergence:**	Date: 2026-02-20 00:00:00+05:30, Price: 292.60

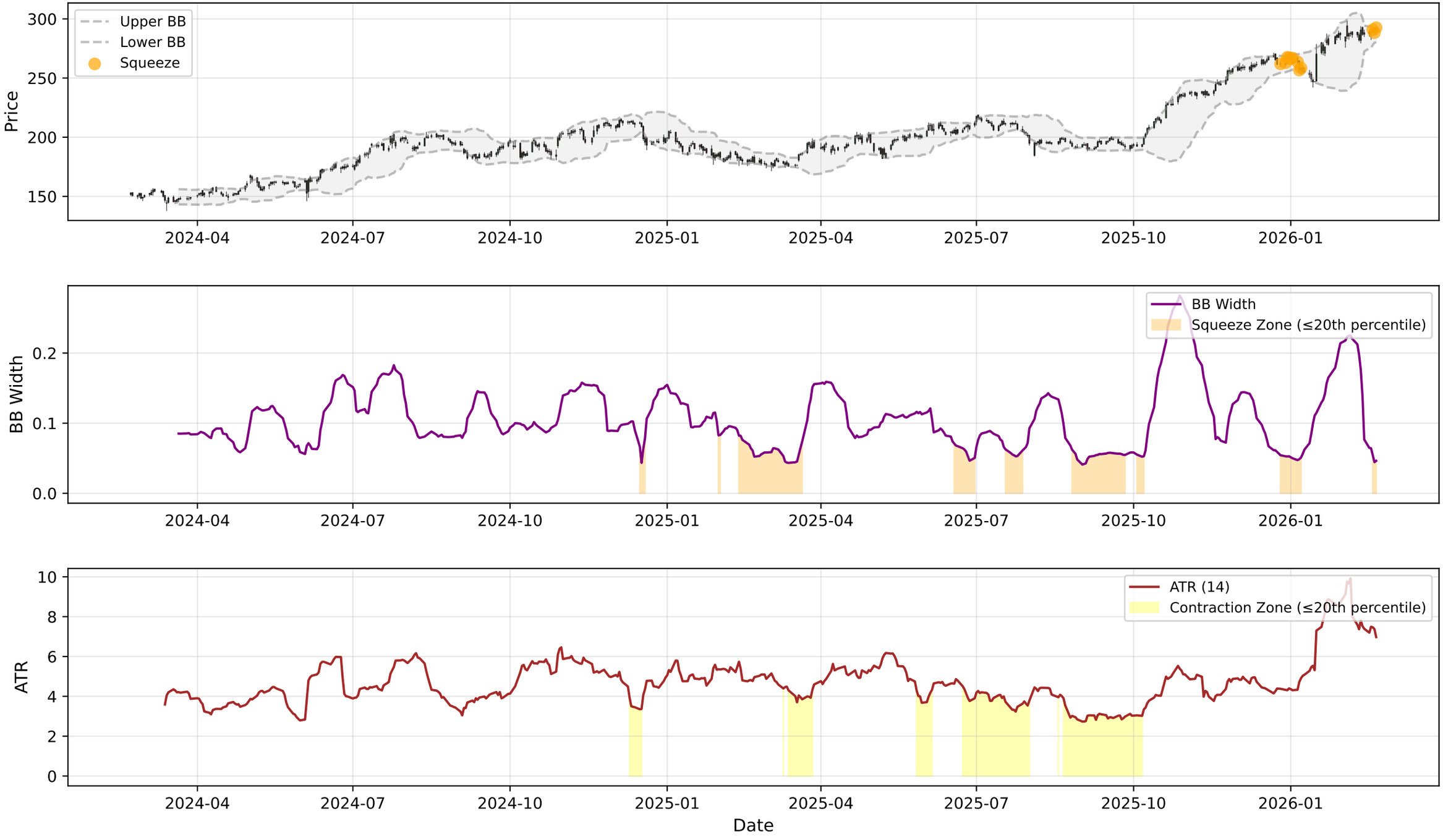

FEDERALBNK.NS Price
Close Price
300
280
260
240
220
200
180
160
140
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


FEDERALBNK.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
10
8
6
4
2
0
−2
−4
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

FEDERALBNK.NS - Volatility Squeeze Summary

BB Width:	0.0463
ATR:	6.9750
Total Signals:	12
Signal 1:	BB Squeeze at 2026-01-06 00:00:00+05:30 (Price: 256.70)
Signal 2:	BB Squeeze at 2026-01-07 00:00:00+05:30 (Price: 258.55)
Signal 3:	BB Squeeze at 2026-02-18 00:00:00+05:30 (Price: 290.85)
Signal 4:	BB Squeeze at 2026-02-19 00:00:00+05:30 (Price: 288.30)
Signal 5:	BB Squeeze at 2026-02-20 00:00:00+05:30 (Price: 292.60)

FEDERALBNK.NS - Volatility Squeeze Analysis



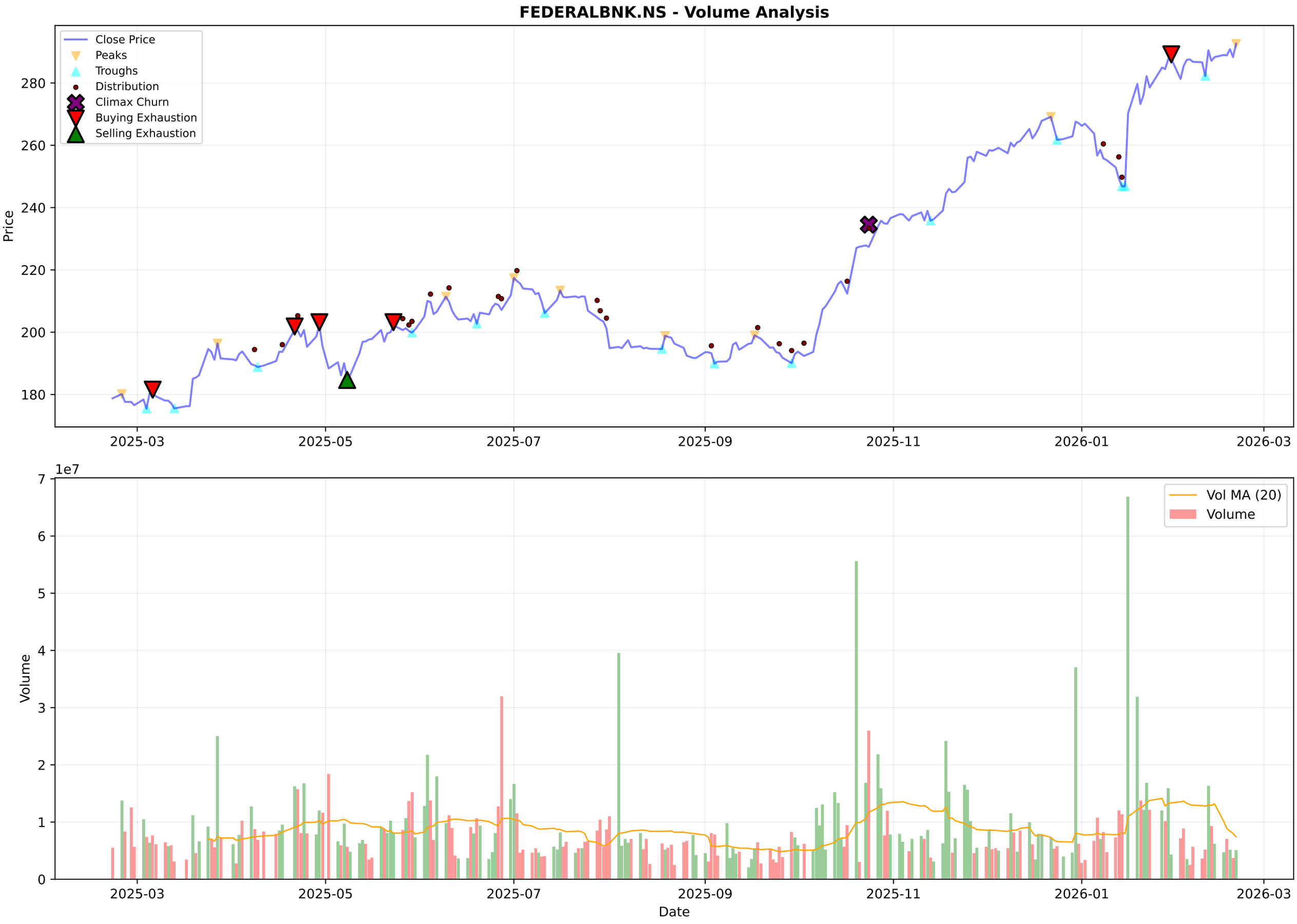
FEDERALBNK.NS - RSI-Volume Summary

Current RSI:	63.50
Current Volume:	5030819
Volume MA 20:	7405694
Bullish Divergences:	1
Bearish Divergences:	5
Bullish Div 1:	Date: 2025-02-03 00:00:00+05:30, Price: 179.47
Bearish Div 1:	Date: 2025-05-23 00:00:00+05:30, Price: 202.21
Bearish Div 2:	Date: 2026-01-30 00:00:00+05:30, Price: 287.75

FEDERALBNK.NS RSI-Volume Divergence Analysis

FEDERALBNK.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**31 Signals Detected**
:	
2025-10-24 [-]:	Distribution Day
2026-01-08 [-]:	Distribution Day
2026-01-13 [-]:	Distribution Day
2026-01-14 [-]:	Distribution Day
2026-01-30 [+]:	**Buying Exhaustion (Bearish Div)**


FEDERALBNK.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
280
260
240
220
200
180
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e7
Vol MA (20)
Volume
Volume
7
6
5
4
3
2
1
0
Date

FEDERALBNK.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	0.10
:	
Distribution:	
No Control:	120
Seller Control:	57
Buyer Control:	42
Buyer Strong Control:	6
Seller Strong Control:	3

FEDERALBNK.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
300
280
260
240
220
200
180
1e7
Volume
6
4
2
0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**UPTREND (Buy)**	253.56	292.6	2025-10-06
1 Day	**UPTREND (Buy)**	269.2	292.6	2026-01-16
15 Min	**UPTREND (Buy)**	290.7	292.15	2026-02-20

Multi-Timeframe MACD Analysis

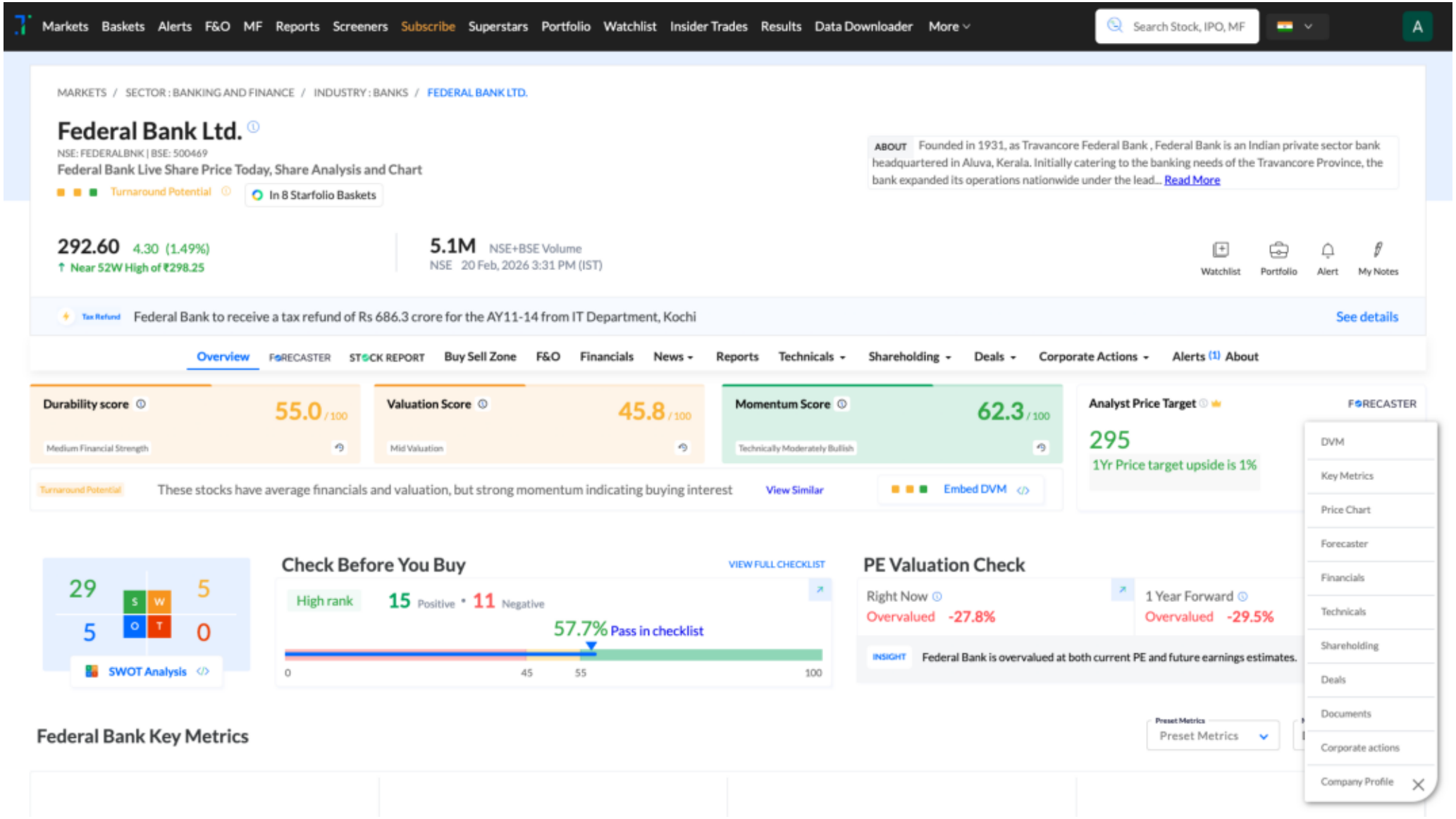
Timeframe	Trend	Momentum	Signal
1 Week	**Bullish**	Weakening	No Signal
1 Day	**Bearish**	Weakening	No Signal
15 Min	**Bearish**	Strengthening	No Signal

FEDERALBNK.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
300
250
200
150
100
50
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09

FEDERALBNK.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
300
275
250
225
200
175
150
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16

FEDERALBNK.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
290
280
270
260
250
240
12-24
12-30
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

Trendlyne Snapshot - FEDERALBNK_main



Trendlyne Snapshot - FEDERALBNK_forecaster

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MARKETS / SECTOR : BANKING AND FINANCE / INDUSTRY : BANKS / FEDERAL BANK LTD.

Federal Bank Ltd.

NSE: FEDERALBNK | BSE: 500469

Turnaround Potential

In 8 Starfolio Baskets

Download real time STOCK REPORT

292.60 4.30 (1.49%)

↑ Near 52W High of ₹298.25

5.1M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Tax Refund Federal Bank to receive a tax refund of Rs 686.3 crore for the AY11-14 from IT Department, Kochi

See details

Overview FORECASTER STOCK REPORT Buy Sell Zone F&O Financials News Reports Technicals Shareholding Deals Corporate Actions Alerts (1) About

Federal Bank - FEDERALBNK - stock price prediction, stock forecast, target price, analyst ratings from 31 analysts

Federal Bank has a share price target of Rs 295, revenue growth forecast of 11.0%, and profit growth estimate of -1.1% for FY26, based on top 31 analyst calls.

Federal Bank FORECASTER - Analyst Estimates

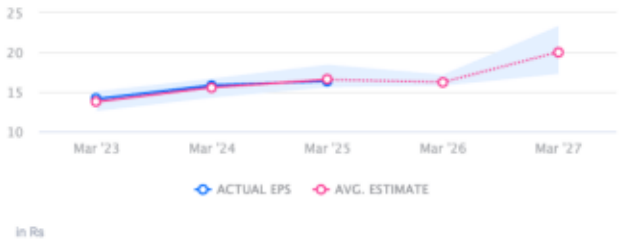
FORECASTER DASHBOARD →

SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

EPS FORECAST

QUARTER ANNUAL



CONSENSUS RECOMMENDATION

31 ANALYST Recommendations

BUY